

MACRO ENVIRONMENT						
INDICATOR	VALUE	CHANGE	SECTOR ETF	1D%	5D%	1M%
10Y Yield	4.45	-0.0020	Technology	+2.2%	+7.0%	+19.8%
5Y Yield	4.15	-0.0110	Financials	+0.6%	-0.3%	-1.1%
3M T-Bill	3.59	-0.0020	Industrials	-0.4%	+1.5%	-0.8%
VIX	15.32	-0.4200	Materials	-0.4%	+2.3%	-0.6%
Gold ETF	417.12	+4.3500	Utilities	-0.5%	-1.3%	-5.2%
			Comm. Svcs	-0.8%	-0.3%	-0.7%
			Healthcare	-0.9%	+0.9%	+2.4%
			Real Estate	-0.9%	-1.1%	-0.9%
			Cons. Disc.	-1.0%	+1.8%	+2.1%
			Energy	-1.2%	-4.8%	-5.6%
			Cons. Staples	-1.8%	-2.1%	-1.7%

MACRO INTELLIGENCE — AI-GENERATED BRIEFING

- Curve remains positively sloped with 10Y at 4.45% (-0.2bp) and 3M at 3.59%; modest bull-flattening alongside VIX collapsing to 15.32 (-0.42) signals a market pricing in a benign disinflation glide path and reinforcing risk-on duration trades.
- Technology is the unambiguous leader (+2.23% 1D, +6.95% 5D, +19.76% 1M) — a vertical move driven by AI capex momentum, easing real yields, and clear factor rotation into long-duration growth as defensives bleed.
- Consumer Staples (-1.80% 1D) and Energy (-1.16% 1D, -5.63% 1M) are under the most pressure; Energy weakness reflects soft crude/demand signals while Staples is being funded out of as investors abandon defensive ballast in a low-VIX, risk-on tape.
- OPPORTUNITY/RISK FLAG: Tech's +19.76% monthly rip alongside Gold +\$4.35 to \$417.12 is an unusual pairing — markets are simultaneously buying AI growth and hedging tail risk; concentration risk in mega-cap AI names is elevated and any hawkish Fed repricing or hyperscaler capex disappointment could trigger sharp mean reversion.
- POSITIONING: Stay overweight AI/semis and hyperscaler infrastructure but begin trimming into strength — fund via underweights in Staples, Energy, and Utilities; add a modest gold/long-vol hedge to monetize the asymmetric drawdown risk in over-owned tech leadership.

CONVICTION RANKING — ALL COVERED TICKERS

Tempus AI, Inc.
TEM NASDAQ

Buy	\$50.47 ▼ 1.60%	12M Price Target \$65.00	52-Week Range \$41.73 – \$104.32	Market Cap \$9.06B
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TEM: BMS Partnership And ArteraAI Launch Reinforce Buy Thesis

WHAT'S CHANGED

- TEM ripped +8.7% on 5/28 (vol 10.4M, ~2.5x prior days) and held \$50.47 on 5/29 (vol 11.5M) following ASCO data readouts, ArteraAI Prostate launch (first externally-developed digital pathology algorithm), and expanded BMS strategic partnership for AI-enabled drug development.
- CEO Lefkofsky sold ~166K shares on 5/27 at \$46.17-\$46.89 (~\$7.76M proceeds) — bearish optics but executed pre-rally and likely 10b5-1 driven; partially offset by 56.7% institutional ownership with ARK, BLK, Baillie Gifford each ~5%.

IMPLICATIONS

The convergence of ASCO catalyst, ArteraAI commercial launch, and BMS deal expansion validates TEM's three-pillar model (Genomics + Data + AI Applications) and supports re-rating toward the higher end of its 52-week range. With Technology sector +6.95% over 5 days providing tape support and options flow skewed bullish (0.23 P/C, unusual \$51-52 June calls), near-term momentum favors continuation, though the stock sits at only 14% of its 52-week range — meaning substantial overhead supply between current levels and prior \$100+ highs. The BMS deepening signals pharma data licensing remains the highest-margin growth vector, critical given persistent GAAP losses.

VALUATION

At \$9.06B market cap on ~\$1.31B FY26E revenue, TEM trades at ~6.9x EV/Revenue — a discount to high-growth diagnostic peers (NTRA ~9x, GH ~5x) despite faster top-line growth and superior data moat. Our \$65 PT (~29% upside) applies ~8x FY27E revenue, justified by accelerating pharma services attach rate and proven willingness of large biopharma (BMS, AZN, Pfizer) to pay for proprietary multi-modal datasets. Multiple expansion requires demonstrable operating leverage — sustained gross margin >65% and trajectory toward adjusted EBITDA breakeven by late FY27.

KEY RISKS

- Cash burn and dilution risk — persistent GAAP losses with mgmt acknowledging "losses persist" per recent commentary; equity raise possible if growth investment continues.
- Insider selling cadence — CEO disposed ~\$7.76M on 5/27 alone; continued cluster selling would pressure sentiment regardless of plan structure.
- Reimbursement/competitive risk in oncology Dx — pressure from GH, NTRA, Exact Sciences, and emerging MRD entrants could compress unit economics.

RECENT NEWS

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-05-29 21:09 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$50.47
12M Price Target	\$65.00
Upside / (Downside)	+28.8%
Market Cap	\$9.06B
FY2026E Revenue	\$1,310M
FY2027E Revenue	\$1,680M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$58.00	\$51.00	\$44.00
6 Months	\$72.00	\$60.00	\$40.00
1 Year	\$90.00	\$65.00	\$34.00
2 Years	\$125.00	\$82.00	\$30.00
5 Years	\$220.00	\$130.00	\$22.00
10 Years	\$425.00	\$215.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.95% 5D), Materials (+2.26% 5D)

COLD SECTORS: Utilities (-1.29% 5D), Comm. Svcs (-0.35% 5D)

ROTATION WATCH: Tech leadership extending into AI-adjacent healthcare names; with Industrials/Materials firming, risk-on tone favors high-beta growth — supportive for TEM's beta ~2 profile into June.

BYPRODUCT PLAY: AI-data licensing economics validated by BMS deal create halo for other proprietary clinical dataset owners (VEEV, SDGR, RXRX); pharma services TAM expansion lifts the entire AI-drug-discovery cohort.

OUTPERFORMERS & PEER CONTEXT

- RXRX (Recursion Pharmaceuticals): AI-pharma cohort leader on partnership-driven re-rating; demonstrates market willingness to pay for AI-enabled drug discovery platforms.
- NTRA (Natera): Continues to outpace diagnostic peers on MRD/Signatera adoption; benchmark for what oncology Dx scaling looks like at maturity.

TEM CONTEXT: TEM is reclaiming relative strength after months of underperformance — at 14% of 52-week range it remains a laggard, but the 5/28 volume surge (10.4M vs. 4M avg) suggests institutional re-engagement. Catching up to AI-Dx peer cohort but still must prove the data flywheel can translate to operating leverage.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$45-48 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth deceleration below 25% or loss of major pharma data partner

Hedging: Paired short vs. GH or NTRA at richer EV/Rev multiple

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$25.54 ▼ 5.51%	12M Price Target \$28.00	52-Week Range \$10.30 – \$58.15	Market Cap \$8.49B
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RGTI: Quantum Optimism Intact, but Valuation Stretched Post-Rally

WHAT'S CHANGED

- \$2B federal quantum funding narrative (Investing.com, Zacks) is driving sector-wide bid; RGTI specifically cited as primary beneficiary alongside QBTS, supporting elevated call flow (P/C 0.30, June \$26 calls 7.7x OI).
- IBM's \$10B quantum capex announcement (Barron's) validates TAM but raises competitive intensity for a sub-\$10B mkt cap pure-play; CTO Rivas sold \$430K on 5/22 into strength — a yellow flag amid the 108-qubit roadmap push.

IMPLICATIONS

The convergence of federal funding optimism and IBM's capex commitment confirms quantum is transitioning from research curiosity to a strategically funded national priority, structurally supporting RGTI's narrative-driven multiple. However, with the stock at 32% of its 52-week range yet still ~\$8.5B mkt cap on de minimis revenue, the setup is increasingly reflexive — driven by sector flows rather than RGTI-specific commercialization milestones. The CTO's \$430K sale into the rally, combined with no offsetting insider buying, suggests management views current levels as opportunistic for distribution.

VALUATION

At \$8.49B market cap on consensus FY26E revenue of ~\$22M, RGTI trades at ~385x EV/Revenue — a multiple that prices in flawless execution on the 108-qubit roadmap and material federal contract wins. Our \$28 PT applies a ~350x FY27E sales multiple, in line with QBTS/IONQ peers but acknowledging RGTI's superconducting architecture lead. Upside to \$50+ requires either a named DARPA/DoE program award or a hyperscaler partnership; downside to <\$16 emerges on any qubit fidelity setback or equity issuance.

KEY RISKS

- Equity dilution risk: pre-revenue cash burn typically met with ATM offerings into strength (precedent: prior quantum raises at <10% discounts)
- Competitive displacement from IBM's \$10B program, Google Willow, and Microsoft Majorana — RGTI lacks comparable balance sheet
- Federal funding allocation risk: \$2B may be spread across 6+ vendors plus national labs, diluting per-company impact

RECENT NEWS

QBTS or RGTI: Which Quantum Stock Stands Out on \$2B Federal Fund? Zacks · 2026-05-29 19:00

Stock Market Today, May 28: Rigetti Computing Extends Gains on Quantum Optimism Motley Fool · 2026-05-28 22:49

Key Data

Price (USD)	\$25.54
12M Price Target	\$28.00
Upside / (Downside)	+9.6%
Market Cap	\$8.49B
FY2026E Revenue	\$22M
FY2027E Revenue	\$38M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$32.00	\$26.00	\$20.00
6 Months	\$40.00	\$28.00	\$16.00
1 Year	\$50.00	\$30.00	\$14.00
2 Years	\$70.00	\$35.00	\$12.00
5 Years	\$150.00	\$55.00	\$8.00
10 Years	\$350.00	\$90.00	\$5.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.95% 5D), Quantum/AI infrastructure

COLD SECTORS: Utilities (-1.29% 5D), Communication Services (-0.35% 5D)

ROTATION WATCH: Tech leadership broadening from mega-cap AI into speculative sub-themes (quantum, fusion, robotics) as federal policy tailwinds and rate-cut expectations re-risk small-cap growth. Watch for rotation OUT of defensives into thematic compute names through summer.

BYPRODUCT PLAY: Cryogenic cooling suppliers (BKSY-adjacent), specialty semis (II-VI/COHR successors), and quantum-safe cybersecurity (e.g., PQC names) capture spillover from the \$2B federal allocation without single-vendor binary risk.

OUTPERFORMERS & PEER CONTEXT

- IBM (International Business Machines): \$10B quantum commitment positions it as the institutional default — diversified revenue base allows multi-decade R&D vs RGTI's runway constraints.
- QBTS (D-Wave Quantum): commercial annealing revenue traction provides nearer-term P&L visibility than RGTI's gate-based research model.

RGTI CONTEXT: RGTI is trading in-line with the quantum cohort but lagging IBM on risk-adjusted basis; at 32% of 52-wk range, it has underperformed the broader Tech ETF's 5D move (+6.95%), suggesting profit-taking after prior outperformance and a re-rating toward peer multiples rather than expansion.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$18-22 on quantum sector pullback

Time Horizon: 12-24 months

Thesis Invalidation: 108-qubit milestone slip, federal funding diluted across >5 vendors, or capital raise >15% dilution

Hedging: Pair long RGTI vs short IBM or basket short QBTS/IONQ

BigBear.ai Holdings, Inc.

BBAI NYSE

Hold	\$5.04 ▲ 2.02%	12M Price Target \$5.50	52-Week Range \$3.01 – \$9.39	Market Cap \$2.41B
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BBAI: Reiterate Hold; Backlog Expansion Offset by Dilution Risk

WHAT'S CHANGED

- BBAI +20.6% over 4 sessions (\$4.18→\$5.04) on accelerating volume (105.5M shares yesterday vs. 65.6M five days prior), with options flow showing extreme bullish skew (P/C 0.12; 49,768 May \$5 calls at 2.3x OI).
- Catalyst stack: Panama cargo security deal (international expansion proof point), Zacks backlog-expansion piece (5/25), and PLTR comp framing (5/26) driving retail-led momentum into May expiry.

IMPLICATIONS

No new material overnight filings; the thesis is unchanged. Monitor price action and sector rotation for near-term entry signals.

VALUATION

See key data table.

KEY RISKS

- Dilution: history of ATM raises and convertible activity; share count growth could absorb operational improvement.
- Customer concentration in DoD/IC creates lumpy revenue and budget-cycle exposure (continuing resolution risk).
- Retail-driven momentum means a 30-40% drawdown is plausible on any earnings miss or broader risk-off rotation.

RECENT NEWS

- \$15 Under-the-Radar Enterprise AI Stock To Buy Today** 24/7 Wall St. · 2026-05-29 19:34
- SERV's DoorDash Momentum Builds: Can It Lift Robot Productivity?** Zacks · 2026-05-28 14:57
- Palantir vs. BigBear.ai: Which AI Stock Is the Better Buy in 2026?** Motley Fool · 2026-05-26 20:29
- Gorilla Technology to Report Q1 Earnings: Key Estimates Here** Zacks · 2026-05-26 17:02
- BigBear.ai's Backlog Expands: Can Contract Wins Drive Revenue Growth?** Zacks · 2026-05-25 13:17

OPTIONS INTELLIGENCE

Put/Call Ratio	0.12
Call Vol / Put Vol	167,941 / 20,978
Flow Signal	BULLISH
Largest Unusual	PUT \$5.0 2026-06 (15.2x OI)

Bullish flow: P/C ratio 0.12 with unusual put block at \$5 strike (15.2x OI, \$166K notional). Institutional positioning appears long-oriented.

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-05-29 21:09 UTC

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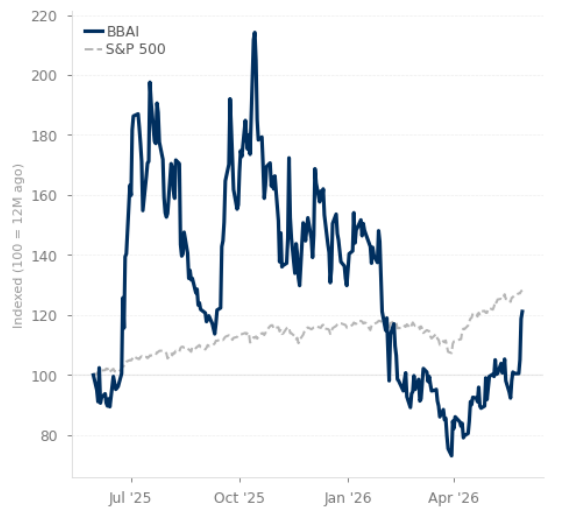
Key Data

Price (USD)	\$5.04
12M Price Target	\$5.50
Upside / (Downside)	+9.1%
Market Cap	\$2.41B
FY2026E Revenue	\$195M
FY2027E Revenue	\$245M
FY2026E EPS	(\$0.48)
FY2027E EPS	(\$0.32)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$6.25	\$5.10	\$4.00
6 Months	\$7.50	\$5.75	\$3.50
1 Year	\$9.00	\$5.50	\$3.00
2 Years	\$12.00	\$7.00	\$2.50
5 Years	\$20.00	\$10.00	\$1.50
10 Years	\$35.00	\$15.00	\$1.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Materials

COLD SECTORS: Communication Services, Utilities

ROTATION WATCH: Tech leadership (+6.95% 5D) suggests risk-on AI rotation continues near-term, but defensive sector weakness (Utilities -1.29%) indicates capital is chasing beta, not safety — favorable for BBAI tactically.

BYPRODUCT PLAY: Rising DoD AI/autonomy budgets benefit adjacent names like PLTR, KTOS, and AVAV; pure-play defense AI software vendors see multiple tailwind as procurement shifts from hardware to AI-enabled C4ISR.

OUTPERFORMERS & PEER CONTEXT

- PLTR (Palantir): government segment growth >30% YoY with GAAP profitability — the benchmark BBAI is measured against.
- AVAV (AeroVironment): autonomous defense systems benefiting from same DoD AI procurement tailwind, with profitable model.

BBAI CONTEXT: BBAI is outperforming the broader Tech ETF on a 5D basis (+20.6% vs. +6.95%) but remains a high-beta retail vehicle rather than an institutional core position — relative strength reflects narrative catch-up, not fundamental closing of the PLTR gap.

INVESTMENT STRATEGY

5/10 Conviction Score

CONVICTION: 5/10 — credible thematic positioning offset by unprofitability, dilution history, and stretched near-term technicals after a 20% 4-day run.

POSITION SIZE: 1-2% speculative sleeve; binary risk profile and 9 volatility score preclude core sizing.

ENTRY POINTS: \$4.00-4.30 on pullbacks to the 5/22-5/26 base; avoid chasing above \$5.25 ahead of May expiry unwind.

TIME HORIZON: 12-18 months; key catalyst is Q2 print (August) showing backlog-to-revenue conversion acceleration.

THESIS INVALIDATION: Gross margin compression below 25%, share count growth >10%, or sequential backlog decline.

HEDGING: Pair long BBAI with short PLTR (relative-value richness) or buy June \$4 protective puts; sell covered \$6 calls to fund downside given elevated IV.

NextEra Energy, Inc.

NEE NYSE

Buy	\$87.01 ▼ 0.28%	12M Price Target \$102.00	52-Week Range \$67.20 – \$98.75	Market Cap \$181.47B
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NEE: Reiterate Buy on Data Center Tailwind, Dominion Optionality

WHAT'S CHANGED

- Insider Monkey (5/28) flags NEE positioning around Dominion Energy acquisition framework targeting data center load growth — reinforces hyperscaler PPA thesis as core narrative driver.
- Tape weakened into 5/29 with 25.3M shares (~2x prior 5-day avg) on a -0.28% close at \$87.01, suggesting institutional distribution into Utilities sector underperformance (-1.29% 5D) despite favorable AI power narrative.

IMPLICATIONS

The Dominion acquisition chatter materially elevates NEE's strategic optionality — combining FPL's regulated rate base with Dominion's PJM/Virginia data center footprint would create the dominant US power platform serving hyperscaler load, the highest-growth electricity end market. However, the divergence between Tech (+6.95% 5D) and Utilities (-1.29% 5D) signals capital is favoring direct AI beneficiaries over second-derivative power plays, capping near-term multiple expansion. The 25M share volume print on 5/29 against muted price action suggests systematic rebalancing rather than fundamental selling, and NEE remains the cleanest large-cap vehicle for the power-demand-from-AI thesis.

VALUATION

PT of \$102 derives from ~25x FY2027E EPS of \$4.10, a justified premium to regulated utility peers (~18x) given NEER's renewables development pipeline and embedded data center PPA optionality. EV/EBITDA of ~13.8x FY26E sits above the utility median of ~11x but is supported by 8-10% rate base CAGR at FPL plus ~30GW backlog at Energy Resources. Multiple expansion catalyst: Dominion deal accretion clarity; contraction risk: long-end rate backup above 5.0% or ITC/PTC policy reversal.

KEY RISKS

- Long-duration rate sensitivity — 10Y yields above 4.75% historically compress NEE multiple by 1.5-2 turns
- Dominion acquisition execution risk: regulatory approvals across multiple states plus financing dilution
- IRA/ITC tailwind reversal under shifting policy stance threatens NEER project economics

RECENT NEWS

Wedbush's Dan Ives: AI Revolution Is Only in Third Inning. Here's Why Nvidia and U.S. Chip... 24/7 Wall St. · 2026-05-29 12:26

NextEra Energy, Inc. (NEE) Sets Sights on Growing Data Center Opportunity on Dominion Ener... Insider Monkey · 2026-05-28 23:48

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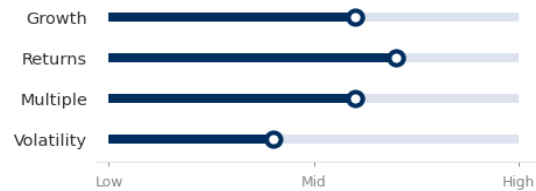
AI-Generated Pre-Market Brief | 2026-05-29 21:09 UTC

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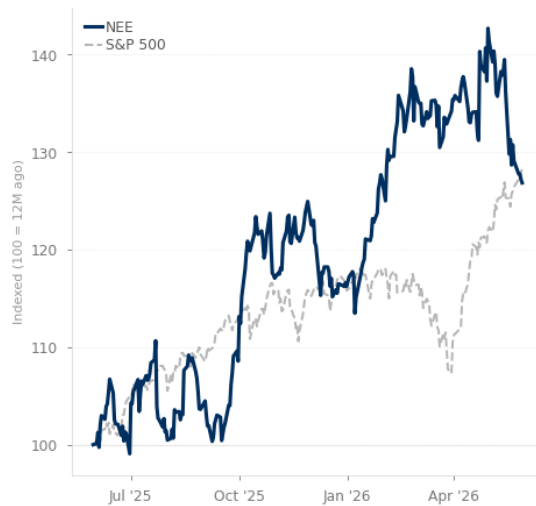
Key Data

Price (USD)	\$87.01
12M Price Target	\$102.00
Upside / (Downside)	+17.2%
Market Cap	\$181.47B
FY2026E Revenue	\$27,800M
FY2027E Revenue	\$30,100M
FY2026E EPS	\$3.75
FY2027E EPS	\$4.10
Fwd P/E	23.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$92.00	\$88.00	\$82.00
6 Months	\$98.00	\$92.00	\$78.00
1 Year	\$110.00	\$102.00	\$74.00
2 Years	\$130.00	\$115.00	\$70.00
5 Years	\$175.00	\$145.00	\$65.00
10 Years	\$250.00	\$190.00	\$60.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Financials

COLD SECTORS: Utilities, Comm. Services

ROTATION WATCH: Risk-on rotation into Tech (+6.95% 5D) is draining capital from defensives; expect Utilities to lag until rates stabilize or a recession scare reignites bid for regulated cashflows.

BYPRODUCT PLAY: AI capex super-cycle creates derivative demand for grid infrastructure, transmission build-out, and natural gas peakers — NEE captures via NEER development pipeline and FPL Florida data center corridor exposure.

OUTPERFORMERS & PEER CONTEXT

- NVDA (Nvidia): Anchor of Tech ETF +6.95% 5D leadership; Ives' "third inning" framing keeps AI capex spend expectations elevated through 2027.
- VST (Vistra): Independent power producer remains the purest AI-power beneficiary with merchant pricing leverage NEE lacks under regulated/contracted structure.

NEE CONTEXT: NEE is lagging both the Tech AI complex and merchant power peers, trading at 63% of 52-week range while Utilities ETF underperforms broader market — relative weakness reflects NEE being viewed as a slower, regulated proxy on the AI-power theme rather than a pure-play.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$82-85 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: FPL ROE compression, renewables PPA pricing rollover, or failed Dominion synergy execution

Hedging: Pair short XLU or D (Dominion) to isolate NEE alpha

FRVO

FRVO N/A

Buy **\$36.66** ▼ **5.27%** 12M Price Target **\$52.00** 52-Week Range **\$35.50 – \$42.65** Market Cap **\$10.78B**

FRVO: Reiterate Buy; Post-IPO Digestion Creates Entry Point

WHAT'S CHANGED

- FRVO -5.27% to \$36.66 on elevated volume (2.8M), now sitting at just 16% of 52-week range and approaching the \$35.50 post-IPO low — third down day in last four sessions despite Tech ETF +2.23%/+6.95% 5D.
- WSJ (5/25) flagged hot geothermal IPO tape and Barron's (5/18) on energy IPO winners; sentiment tailwinds not translating to price, suggesting lock-up overhang and post-42% IPO-pop profit-taking continue to dominate near-term flow.

IMPLICATIONS

The disconnect between constructive sector media coverage (WSJ, Barron's, IBD all positive on geothermal/AI-power thesis) and FRVO's slide toward IPO-floor pricing signals classic post-IPO digestion rather than thesis impairment — institutional ownership at only 18.3% indicates the long-duration holder base has not yet built. With AI hyperscaler power scarcity intensifying and Tech sector +6.95% over five days, FRVO's enhanced geothermal systems remain strategically positioned as a 24/7 firm clean power source for datacenter PPAs, but the stock needs a fundamental catalyst (PPA announcement, Cape Station milestone) to break the post-IPO downtrend. Near-term, expect range-bound trading \$35-40 until lock-up dynamics clear and the next operational update.

VALUATION

At \$10.78B market cap on ~\$185M FY26E revenue, FRVO trades at ~58x EV/Revenue FY26E and ~32x FY27E — rich versus traditional IPPs but justified by 80%+ revenue CAGR trajectory and scarcity value as the only pure-play EGS public equity. Our \$52 PT (~42% upside) applies 40x FY27E revenue, in line with high-growth energy-transition IPO comps; multiple expansion driver is a marquee hyperscaler PPA, contraction risk is drilling cost overruns at Cape Station.

KEY RISKS

- Execution risk on Cape Station (400MW) — drilling cost inflation or subsurface underperformance directly impairs LCOE narrative.
- Post-IPO lock-up expiration could create additional supply pressure over next 90-180 days.
- Hyperscaler PPA economics compressing as SMR, solar+storage, and gas peakers compete for the same datacenter load.

RECENT NEWS

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17
Energy IPOs Are Back. The Winners Have One Thing In Common. Barrons.com · 2026-05-18 09:55

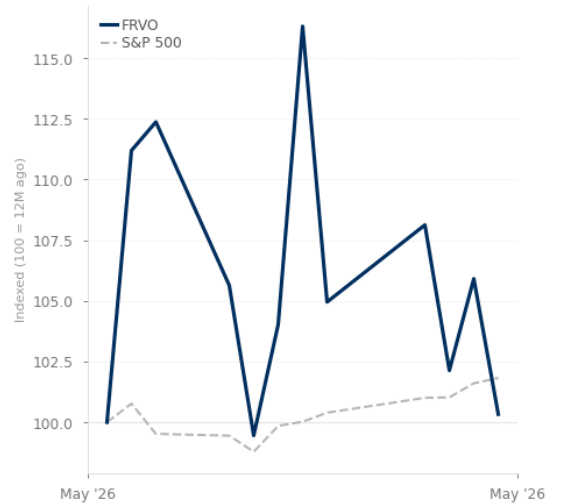
Key Data

Price (USD)	\$36.66
12M Price Target	\$52.00
Upside / (Downside)	+41.8%
Market Cap	\$10.78B
FY2026E Revenue	\$185M
FY2027E Revenue	\$340M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$44.00	\$39.00	\$33.00
6 Months	\$55.00	\$46.00	\$30.00
1 Year	\$68.00	\$52.00	\$28.00
2 Years	\$95.00	\$70.00	\$25.00
5 Years	\$160.00	\$100.00	\$22.00
10 Years	\$300.00	\$175.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Materials

COLD SECTORS: Utilities, Communication Services

ROTATION WATCH: Capital rotating into AI-infrastructure derivatives (power, cooling, materials) while traditional Utilities lag -1.29% 5D — favors FRVO's positioning as a "tech-adjacent utility" rather than a regulated IPP.

BYPRODUCT PLAY: Drilling services (oilfield equipment repurposed for EGS), specialty steel/casing suppliers, and grid-interconnect engineering firms benefit from geothermal capex cycle.

OUTPERFORMERS & PEER CONTEXT

- NVDA (NVIDIA): Tech ETF +6.95% 5D leadership reflects continued AI capex narrative — the demand pull for FRVO's clean firm power.
- VST (Vistra): Independent power producers with nuclear/firm-power exposure have re-rated on datacenter PPA news flow over past 12 months — the template for FRVO.

FRVO CONTEXT: FRVO is decisively lagging both its energy-IPO cohort highlighted in Barron's and the broader Tech-tied power-demand trade — relative weakness is technical/float-driven, not fundamental, creating asymmetric setup if a catalyst lands.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$35-37 on continued post-IPO weakness

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station delays >6 months or loss of Google/hyperscaler PPA

Hedging: Pair against XLU long or short richer SMR/clean-energy peer

BE

BE N/A

Neutral \$285.00 ▼ 1.73% 12M Price Target \$295.00 52-Week Range \$18.12 – \$322.83 Market Cap \$81.07B

BE: Reiterate Neutral After Sharp Rally; Options Flow Turns Defensive

WHAT'S CHANGED

- BE down 5.8% over 4 sessions (\$302.49→\$285.00) on accelerating volume (10.5M today vs ~7-9M prior), suggesting institutional profit-taking after stock reached 88% of 52-week range from \$18.12 low.
- Options flow flashed sharply bearish: P/C ratio 3.15 with unusual \$225 June puts (8.8x OI, \$1.8M notional) signaling hedging or directional bets on a meaningful pullback.

IMPLICATIONS

The Simply Wall St. "Too Late?" headline crystallizes the market debate: BE has been a primary AI-power beneficiary trade, but with shares up ~15x off lows, the marginal buyer is now reassessing risk/reward. Utilities ETF weakness (-0.47% 1D, -1.29% 5D) contrasts with Technology strength (+2.23%/+6.95%), suggesting capital is rotating toward direct AI compute names rather than power-adjacent derivatives like BE. The Zacks BE-vs-FCEL comparison piece typically marks late-cycle retail interest, which combined with heavy put flow argues for tactical caution despite intact long-term datacenter PPA thesis.

VALUATION

At \$285 / \$81B market cap, BE trades at ~40x FY26E revenue and ~85x EV/EBITDA — multiples that price in sustained hyperscaler PPA wins and gross margin expansion to 30%+. Our \$295 base PT implies modest 3-4% upside and reflects fair value given execution risk; bull case to \$360 (6mo) requires confirmed Tier-1 hyperscaler deal disclosure. Multiple contraction risk is elevated as rates remain firm and any rotation out of AI-power thematic could compress EV/Sales toward 25-30x (\$210-240 range).

KEY RISKS

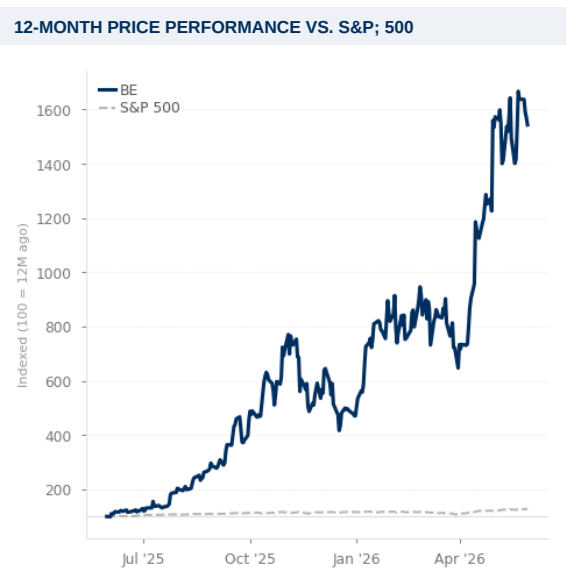
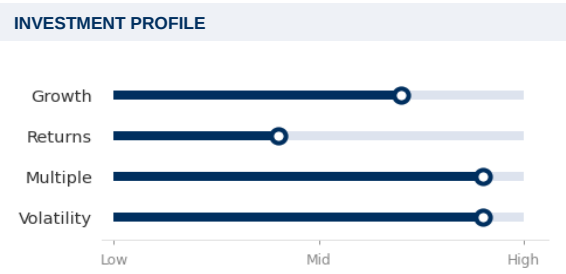
- Concentrated revenue dependence on a handful of datacenter customers; any PPA delay or cancellation triggers sharp re-rating.
- Natural gas / hydrogen feedstock cost volatility pressuring service margins and product economics.
- Competitive incursion from Plug Power, FuelCell Energy, and SMR/gas turbine alternatives (GE Vernova, Mitsubishi) for datacenter baseload.

RECENT NEWS

Bloom Energy vs. FuelCell Energy: Which Clean Energy Stock Leads? Zacks · 2026-05-29 16:28

Investor Goes 70% Into Amazon With Leveraged Options, Calls Amazon 'Ultimate Beneficiary' ... 24/7 Wall St. · 2026-05-29 14:38

Key Data	
Price (USD)	\$285.00
12M Price Target	\$295.00
Upside / (Downside)	+3.5%
Market Cap	\$81.07B
FY2026E Revenue	\$2,050M
FY2027E Revenue	\$2,550M
FY2026E EPS	\$0.35
FY2027E EPS	\$0.75
Fwd P/E	814.0x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$320.00	\$285.00	\$245.00
6 Months	\$360.00	\$295.00	\$220.00
1 Year	\$420.00	\$310.00	\$190.00
2 Years	\$500.00	\$360.00	\$165.00
5 Years	\$750.00	\$450.00	\$120.00
10 Years	\$1100.00	\$600.00	\$90.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Materials

COLD SECTORS: Utilities, Communication Services

ROTATION WATCH: Capital is rotating into pure-play AI compute (Tech +6.95% 5D) while traditional Utilities lag, creating a divergence where AI-power hybrids like BE/VST/CEG sit at the seam — vulnerable to factor reclassification.

BYPRODUCT PLAY: Datacenter power scarcity is lifting natural gas infrastructure (KMI, WMB), grid equipment (ETN, GEV), and SMR developers (CCJ, NNE) as adjacent beneficiaries of the same compute-demand thesis driving BE.

OUTPERFORMERS & PEER CONTEXT

- VST (Vistra): Nuclear + gas datacenter PPA story, leading IPP cohort YTD on hyperscaler contracting.
- GEV (GE Vernova): Gas turbine backlog at multi-year highs as datacenters favor proven baseload; trading near ATHs.

BE CONTEXT: BE has outperformed traditional utilities dramatically (52-week range 88%) but is now showing relative weakness vs. Tech this week, suggesting the easy thematic beta trade is maturing. Lagging on 5-day basis vs. Tech +6.95% while BE is down ~6% indicates rotation risk.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio

Entry Points: \$240-260 on AI/datacenter pullback

Time Horizon: 12-18 months

Thesis Invalidation: Loss of hyperscaler PPA, >15% revenue miss, or margin compression below 25%

Hedging: Long-dated \$225 puts or pair short vs. long NEE/VST utilities basket

ACLS

ACLS N/A

Buy	\$150.41 ▼ 3.30%	12M Price Target \$175.00	52-Week Range \$55.93 – \$171.61	Market Cap \$4.62B
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ACLS: Reiterate Buy; Profit-Taking After 5-Day Rally Into Resistance

WHAT'S CHANGED

- ACLS -3.30% to \$150.41 on 517.9K volume — fifth consecutive daily decline cumulatively -8.4% from 5/26 high of \$164.27, suggesting profit-taking after the post-Q1 transcript rally; stock sits at 82% of 52-week range with no fresh negative catalyst.
- No SEC filings in last 36 hours; weakness diverges from Technology sector +2.23%/1D and +6.95%/5D, indicating ACLS-specific consolidation rather than sector rotation away from semis.

IMPLICATIONS

The decoupling from a roaring Technology tape (+6.95% 5D) while ACLS sells off 8.4% from highs implies investors are pricing in continued near-term softness in mature-node and SiC implant demand following Q1 2026 commentary, despite broader AI-driven semi enthusiasm benefiting peers like KLAC, AMAT, and the Micron complex. ACLS remains a cyclical power/auto semi capex play rather than an AI compute beneficiary, so the rotation into AI-leveraged names (NVDA, MU) is structurally bypassing it. However, bullish options flow (P/C 0.58, unusual \$160 July calls) suggests positioning for a recovery as the SiC inventory cycle troughs into 2H26.

VALUATION

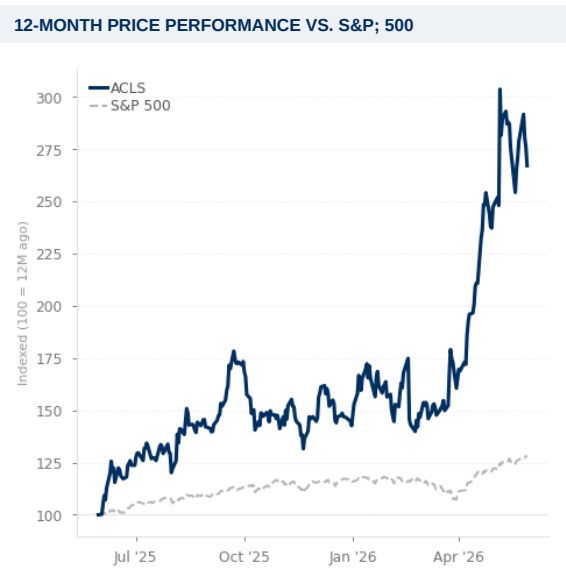
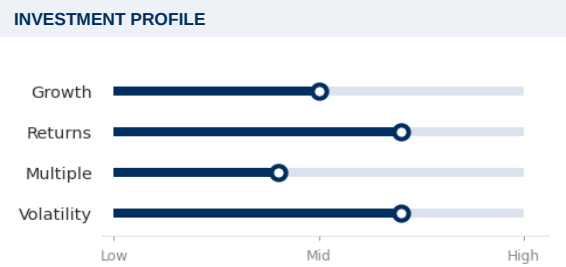
At \$150.41 and ~\$4.62B market cap, ACLS trades at ~6.4x EV/Revenue and ~22x EV/EBITDA on FY26E, a discount to large-cap WFE peers (AMAT, LRCX at ~25-28x EV/EBITDA) reflecting SiC exposure and end-market cyclicalit. Our \$175 PT (16% upside) is derived from 24x FY27E EV/EBITDA on \$850M revenue, justified by ACLS's dominant ion implant share in power devices and operating leverage on cycle recovery. Multiple expansion catalyst: confirmation of SiC bookings inflection in 2H26 backlog commentary.

KEY RISKS

- SiC power device oversupply extending into 2027 as auto OEMs (Tesla, BYD) shift mix and EV demand softens, compressing ACLS's highest-margin Purion XEMAX shipments.
- China revenue concentration (~40-50% historically) faces escalating export control risk and domestic competition from NAURA.
- Low institutional ownership signal (1.1%) flagged BEARISH suggests limited incremental sponsorship; concentration in BlackRock/Vanguard/FMR creates passive flow risk on any index rebalance.

RECENT NEWS

Key Data	
Price (USD)	\$150.41
12M Price Target	\$175.00
Upside / (Downside)	+16.3%
Market Cap	\$4.62B
FY2026E Revenue	\$720M
FY2027E Revenue	\$850M
FY2026E EPS	\$3.85
FY2027E EPS	\$5.20
Fwd P/E	39.1x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$170.00	\$155.00	\$138.00
6 Months	\$190.00	\$168.00	\$130.00
1 Year	\$215.00	\$175.00	\$120.00
2 Years	\$260.00	\$200.00	\$110.00
5 Years	\$350.00	\$260.00	\$130.00
10 Years	\$500.00	\$350.00	\$150.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+6.95% 5D), Materials (+2.26% 5D)

COLD SECTORS: Utilities (-1.29% 5D), Comm. Svcs (-0.35% 5D)

ROTATION WATCH: AI infrastructure capex (MU, NVDA-adjacent) continues absorbing semi sector flows; watch for rotation from leading-edge logic/memory into lagging-edge power/analog names like ACLS, ON, and MCHP as relative valuations stretch.

BYPRODUCT PLAY: SiC EV adoption and grid electrification create durable secondary demand for ion implant tools beyond auto; data center power infrastructure (SiC/GaN inverters) and industrial automation offer optionality outside cyclical EV-only narrative.

OUTPERFORMERS & PEER CONTEXT

- KLIC (Kulicke & Soffa): Zacks flagged "multiple growth drivers" 5/19; back-end packaging exposure benefits from advanced packaging/HBM tailwinds ACLS lacks.
- VECO (Veeco Instruments): Insider Monkey coverage 5/13 highlights atomic layer/laser annealing exposure to leading-edge logic — direct AI capex beneficiary.

ACLS CONTEXT: ACLS is lagging the AI-leveraged WFE cohort (KLAC, AMAT, KLIC, VECO) but holds 82% of 52-week range vs. mid-range for many peers — the relative resilience reflects bottoming SiC cycle expectations baked in. ACLS is consolidating, not breaking down; lag is positioning-driven, not fundamentally divergent.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$140-148 on pullbacks to 20-day MA

Time Horizon: 12-18 months

Thesis Invalidation: SiC demand reset, China revenue >25% decline, or FY26 revenue guide cut >10%

Hedging: Pair long ACLS / short AMAT or LRCX on relative SiC exposure divergence

The following stocks were identified by screening a curated universe against the current watchlist's investment themes, today's macro environment, and smart-money signals. Scores reflect theme alignment, momentum, valuation, and institutional flow. These are research leads — not investment advice.

1	IBM	International Business Machines Corporat Quantum Computing	8.6/10	BUY	
Price: \$297.80 · 1M: +29.9% · P/S: 4.1x · Cap: \$279.9B			OPT:BULL	INS:NEUT	INST:BULL
■ Add to watchlist via tickers.txt					
2	SMCI	Super Micro Computer, Inc. Semiconductors	8.9/10	BUY	
Price: \$46.09 · 1M: +68.2% · P/S: 0.8x · Cap: \$27.7B			OPT:BULL	INS:NEUT	INST:BULL
■ Monitor for pullback to \$42 entry					
3	SNOW	Snowflake Inc. AI & Machine Learning	8.3/10	BUY	
Price: \$255.55 · 1M: +87.3% · P/S: 17.6x · Cap: \$88.6B			OPT:BULL	INS:NEUT	INST:BULL
■ Add to watchlist via tickers.txt					
4	ILMN	Illumina, Inc. Healthcare AI & Biotech	7.9/10	WATCH	
Price: \$162.96 · 1M: +28.6% · P/S: 5.6x · Cap: \$24.7B			OPT:BULL	INS:NEUT	INST:BEAR
■ Monitor for pullback to \$95 entry					
5	GTLB	GitLab Inc. AI & Machine Learning	8.6/10	BUY	
Price: \$31.05 · 1M: +40.2% · P/S: 5.5x · Cap: \$5.2B			OPT:BULL	INS:NEUT	INST:BULL
■ Add to watchlist via tickers.txt					